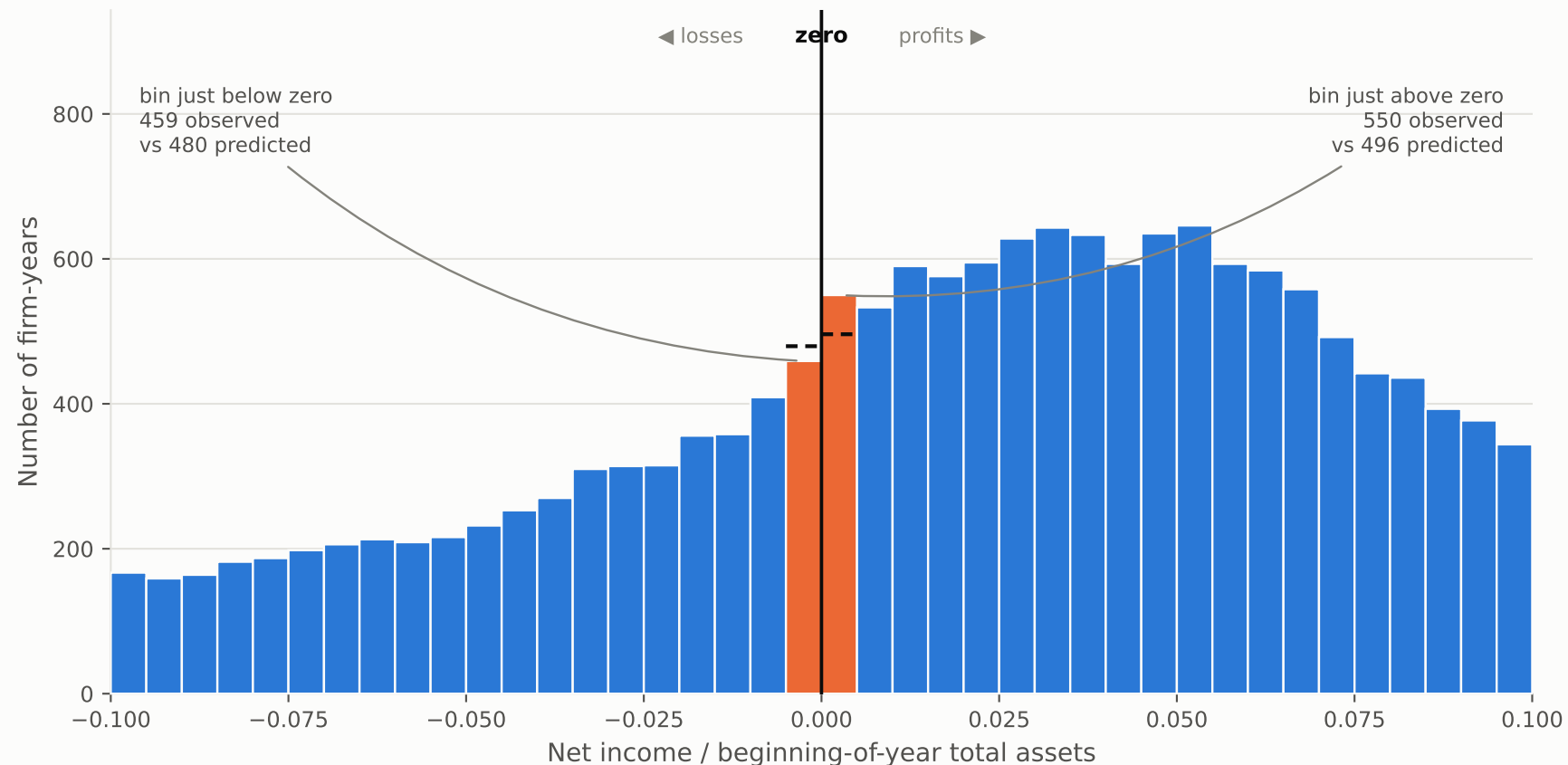


Distribution of scaled net income around zero



Bin width 0.005 of beginning-of-year total assets; zero falls on a bin boundary, not inside one. N = 16,018 firm-years; 3,582 distinct firms; fiscal years 2016-2025. Source: SEC Financial Statement Data Sets (10-K filings). Window restricted to $|\text{scaled earnings}| \leq 0.10$. Dashed rules mark each focal bin's count predicted from its two neighbours, $(\text{count}_{i-1} + \text{count}_{i+1}) / 2$.